

STATE OF OKLAHOMA

1st Session of the 60th Legislature (2025)

HOUSE BILL 1359

By: Olsen

AS INTRODUCED

An Act relating to revenue and taxation; creating income tax credit; providing definitions; providing eligibility for tax credit; providing cap on amount claimed by taxpayer per taxable year; providing carryover; prohibiting credit from reducing liability to less than zero; providing how taxpayer may claim credit on separate returns; directing Oklahoma Tax Commission to provide forms; providing procedure for administering credit; providing annual cap; providing for severability; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 2357.701 of Title 68, unless there is created a duplication in numbering, reads as follows:

A. As used in this section:

1. "Commission" means the Oklahoma Tax Commission;

2. "Eligible dependent child" means a child who has not attained the age of nineteen (19) years, otherwise qualifies for federal income tax purposes as a dependent of the taxpayer, and is a natural child of both of the legally married parent filers.

3. "Taxpayer" means a legally married couple.

1 B. For taxable years beginning after December 31, 2025, there
2 shall be allowed against the tax imposed pursuant to Section 2355 of
3 Title 68 of the Oklahoma Statutes, for each eligible dependent child
4 residing with his or her parents, legally married to one another, a
5 credit in the following amounts:

6 1. For filers who have been continuously legally married from
7 one (1) to five (5) years, Five Hundred Dollars (\$500.00);

8 2. For filers who have been continuously legally married from
9 five (5) to ten (10) years, One Thousand Dollars (\$1,000.00);

10 3. For filers who have been continuously legally married from
11 eleven (11) to fifteen (15) years, One Thousand Five Hundred
12 Dollars (\$1,500.00);

13 4. For filers who have been continuously legally married for
14 sixteen (16) years or more, Two Thousand Dollars (\$2,000.00);

15 C. A taxpayer shall not be allowed to claim a tax credit
16 authorized under this section in excess of Ten Thousand Dollars
17 (\$10,000.00) per taxable year.

18 D. Any tax credit claimed under this section but not used in
19 any taxable year may be carried forward for five (5) consecutive
20 years from the close of the tax year in which the credits were
21 earned.

22 E. The credit authorized pursuant to the provisions of this
23 section may not be used to reduce the tax liability of the taxpayer
24 to less than zero (0). The credit authorized pursuant to the

1 provisions of this section may not be assigned, transferred, or
2 sold.

3 F. A husband and wife who file separate returns for a taxable
4 year in which they could have filed a joint return may each claim
5 one-half (1/2) of the tax credit that would have been allowed for a
6 joint return.

7 G. A taxpayer shall pre-apply for credits with the Commission
8 on forms prescribed by the Commission. In the application to the
9 Commission, the taxpayer shall certify the number of eligible
10 dependent children residing in the taxpayer's household for more
11 than half of the taxable year and shall include a notarized
12 statement indicating the parents of the children were legally
13 married to one another in the taxable year and shall also certify
14 the number of years the couple has been continuously married.

15 H. Credits shall be awarded on a first-come-first served basis,
16 whether submitted electronically, hand-delivered, or by U.S. Mail.

17 I. Within thirty (30) days after the receipt of an application,
18 the Commission shall allocate credits based on the dollar amount of
19 the tax credit as demonstrated in the application. However, if the
20 Commission cannot allocate the full amount of credits demonstrated
21 in the application due to the limit on the aggregate amount of
22 credits that may be awarded under this section in a calendar year,
23 the Commission shall so notify the applicant within thirty (30) days
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1 with the amount of credits, if any, that may be allocated to the
2 applicant in the calendar year.

3 J. The aggregate amount of tax credits that may be allocated by
4 the Commission under this section during a calendar year shall not
5 exceed Twenty-five Million Dollars (\$25,000,000.00).

6 SECTION 2. If any one or more provision, section,
7 subsection, sentence, clause, phrase or word of this act or the
8 application thereof to any person or circumstance is found to be
9 unconstitutional, the same is hereby declared to be severable and
10 the balance shall remain effective notwithstanding such
11 unconstitutionality. The Legislature hereby declares that it would
12 have passed each provision, section, subsection, sentence, clause,
13 phrase or word thereof, irrespective of the fact that any one or
14 more provision, section, subsection, sentence, clause, phrase or
15 word be declared unconstitutional.

16 SECTION 3. This act shall become effective January 1, 2026.

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